

Public Sector Economics: Market Failure

Market Failure

Market failure occurs when the free market, operating without government intervention, fails to allocate resources efficiently. Common causes include externalities, public goods, information asymmetry, and market power.

Externalities

An externality is a cost or benefit that affects a third party who did not choose to incur it. Negative externalities, such as pollution, lead to overproduction relative to the social optimum. Positive externalities, such as education, lead to underproduction relative to the social optimum.

Public Goods

Public goods are non-excludable and non-rivalrous, meaning one person's consumption does not reduce availability to others, and it is difficult to prevent non-payers from benefiting. This creates a free-rider problem, since private markets tend to underprovide such goods.

Government Intervention

Common tools to correct market failure include Pigouvian taxes on negative externalities, subsidies for positive externalities, direct provision of public goods, and regulation to address information asymmetry or market power.